

broking card. But the big boys of Dalal Street would have none of it. One, the brokers who made a living off UTI's deals would lose a big share of the business. Two, giving membership to UTI would lead to similar requests from other institutions too. It is said that Pherwani was incensed, but there was little he could do. Some other institutions too tried requesting for membership, but they too were snubbed.

When the newly established SEBI tried to get brokers to register with it for a fee, the proposal was stoutly opposed by brokers and jobbers. They refused to carry out transactions, with the result that BSE had to be shut for a week in April 1992.

Finance Minister Manmohan Singh, who visited Bombay during that time, came down to BSE to meet the agitating brokers. I was told by friends that the brokers behaved badly with the finance minister, shouting slogans and booing him. This must have piqued the government, which was in the midst of rolling out the red carpet to foreign investors to get them to invest in the stock market. The leading exchange of the country holding the government to ransom would have only served to drive the investors away.

Thus it was that NSE, set up with financial institutions as its principal shareholders, and originally meant to be a trading platform for wholesale debt, was given permission to start an exchange for trading in shares too. It commenced operations in November 1994, overnight changing the rules of the game. Incumbents like BSE had no choice but to follow suit or risk becoming obsolete.

While their core business was the same – bringing together buyers and sellers of shares – there was a marked difference between the business models of NSE and BSE. From the first day of its operations, NSE started operations with an electronic trading system. It would take a few more months for BSE's computerized system to become operational. NSE followed a weekly settlement cycle, just like BSE, but unlike on BSE, trades on NSE could not be carried forward. On settlement day, trades had to be either squared up or settled.

The ever-ingenuous brokers found a way to circumvent this hurdle too. The NSE followed a Wednesday-to-Tuesday settlement cycle while the BSE followed a Monday-to-Friday settlement cycle. Towards the close of trading hours on Monday, or early on in the session on Tuesday, brokers would 'shift' their positions from the NSE to the BSE. They would do this by closing their outstanding positions on the NSE, and taking up similars